15. Income Taxes

Group files a consolidated federal income tax return, which includes all of its wholly owned subsidiaries. Each subsidiary files separate, or combined where required, state tax returns in required jurisdictions. Group and its subsidiaries have entered into a tax sharing agreement providing (among other things) that each of the subsidiaries will reimburse Group for its share of income taxes based on the proportion of such subsidiaries' tax liability on a separate return basis to the total tax liability of Group.

The following table summarizes the components of the income tax provision (benefit):

	Years Ended		
(Dollars in millions)	February 3, 2007	February 2, 2008	January 31, 2009
Current:			
Federal	$ (0.2)	$ 45.6	$ 19.0
State and local	4.6	10.2	4.6
Foreign	0.3	0.3	—
	4.7	56.1	23.6
Deferred:			
Federal	(10.2)	8.0	12.9
State and local	(0.7)	0.1	0.1
	(10.9)	8.1	13.0
Total	$ (6.2)	$ 64.2	$ 36.6

The following table summarizes the principal reasons for the difference between the effective tax (benefit) and the U.S. federal statutory income tax (benefit) rate:

	Years Ended		
	February 3, 2007	February 2, 2008	January 31, 2009
Federal income tax rate	35.0%	35.0%	35.0%
State and local income taxes, net of federal benefit	10.1	4.1	5.9
Valuation allowance	(64.5)	—	—
Non-deductible expenses, primarily preferred dividends	10.2	—	—
Other	0.5	0.7	(0.5)
Effective tax rate	(8.7)%	39.8%	40.4%

The tax effect of temporary differences which give rise to deferred tax assets and liabilities are as follows:

(Dollars in millions)	February 2, 2008	January 31, 2009
Deferred tax assets:		
Rent	$ 19.2	$ 19.8
Reserve for sales returns	2.8	2.4
Credit carryovers	1.3	0.7
Share-based payments	4.3	7.2
State taxes and interest	2.7	2.5
Other	1.5	2.5
	31.8	35.1
Deferred tax liabilities:		
Prepaid catalog and other prepaid expenses	(8.0)	(9.2)
Difference in book and tax basis for property and equipment	(6.0)	(21.1)
	(14.0)	(30.3)
Net deferred income tax assets	$ 17.8	$ 4.8
Amounts included in consolidated balance sheets:		
Non-current assets	$ 20.2	$ 8.9
Current liabilities	(2.4)	(4.1)
	$ 17.8	$ 4.8

In fiscal 2004, the Company established a valuation allowance against its net deferred tax assets. In accordance with SFAS No. 109, *"Accounting for Income Taxes,"* management continued to reevaluate the necessity of this valuation allowance on an ongoing basis. Due to several factors, including significant improvement in results of operations in fiscal 2005 and 2006 and changes in the Company's debt and equity structure resulting from its initial public offering in July 2006, management determined that the valuation allowance was not necessary at February 3, 2007. As a result of this revaluation, a deferred tax benefit of $10.9 million was recognized for the year ended February 3, 2007 and stockholders' equity was increased by $12.9 million relating to the excess tax benefit from share based compensation. Management believes that the net deferred tax asset balance of $4.8 million as of January 31, 2009 is more likely than not to be realized.

On February 4, 2007, the Company adopted FASB Interpretation No. 48, *Accounting for Uncertainty in Income Taxes—an Interpretation of FASB Statement No. 109*, ("FIN 48"). As a result of the implementation of FIN 48, the Company recognized a $0.6 million net increase in unrecognized tax benefits with a corresponding decrease in retained earnings. The total effect of the adoption was a $1.7 million increase in our non-current deferred tax assets, a $4.1 million decrease in current income taxes payable to reclassify unrecognized tax benefits to non-current liabilities, a $6.4 million increase in non-current liabilities representing the liability for unrecognized tax benefits including interest, and the previously mentioned $0.6 million decrease to retained earnings.

As of January 31, 2009, the Company has $7.4 million in unrecognized tax benefits (including interest and penalties of $1.2 million) reflected in other liabilities. The amount, if recognized, that would affect the effective tax rate is $4.0 million. While the Company expects the amount of unrecognized tax benefits to change in the next twelve months, the change is not expected to have a significant effect on the estimated effective annual tax rate, the results of operations or financial position.

A reconciliation of unrecognized tax benefits is as follows*:*

(Dollars in millions)	Fiscal 2007	Fiscal 2008
Balance at beginning of fiscal year	$ 5.7	$ 6.6
Additions for tax positions taken during current year	2.4	1.2
Reductions for tax positions taken during prior years	(0.6)	(0.2)
Settlements	(0.1)	(0.1)
Expirations of statues of limitations	(0.8)	(1.3)
Balance at end of fiscal year	$ 6.6	$ 6.2

In fiscal 2008, audits of tax years ended January 2002 through January 2003 were closed by the IRS, and the Company collected $9.3 million of refundable income taxes including interest. Tax years ended January 2004 through January 2006 are currently under audit by the IRS. The results of these audits are not expected to have a significant effect on the results of operations or financial

position. Various state and local jurisdiction tax authorities are in the process of examining income tax returns of Group’s subsidiaries for various tax years ranging from 2001 to 2006.